



Canyon US Real Estate Debt Fund III ("CRED III")
Q4 2024 Investor Reporting

CRED III Q4 2024 Update

- \$357.3M (~44% of total investor commitments) committed to 16 closed investments.
- Second realization in Q4 2024 on Parkstone at Indian Land resulted in a 14.4% gross IRR and 1.22x gross EM, compared to original underwriting of a 14.0% gross IRR and 1.36x gross EM.¹ The difference in returns is due to the investment being redeemed nine months ahead of the initial projection. Proceeds from the first and second realizations will be recycled for another turn on capital.
- 11.4% weighted average current pay over the last year.²
- Final close held in Q4 2024 resulting in \$813.4M of fund commitments and \$1.2B of total strategy assets.

Q3 2024 Performance

15.0% / 11.3%

Wtd. Avg. Deal-Level
Gross/Net IRR¹

1.43x / 1.30x

Wtd. Avg. Deal-Level
Gross/Net EM¹

Q4 2024 Performance

15.2% / 11.6%

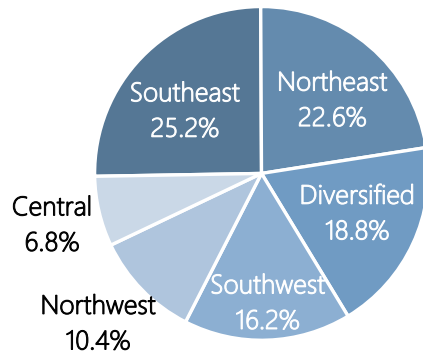
Wtd. Avg. Deal-Level
Gross/Net IRR¹

1.44x / 1.31x

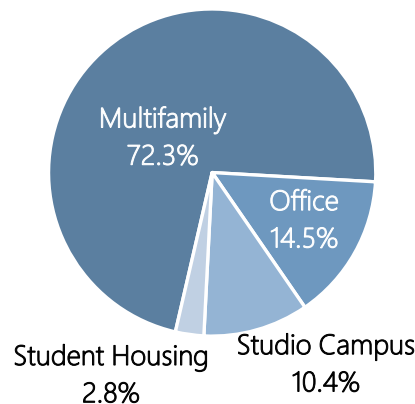
Wtd. Avg. Deal-Level
Gross/Net EM¹

Portfolio Composition (Since Inception Investments)

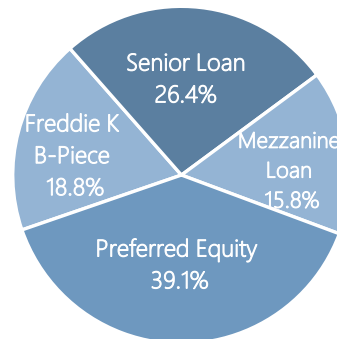
Geographic Breakdown



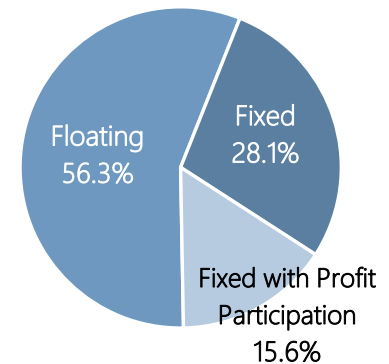
Property Type



Investment Type



Fixed vs. Floating



Note: As of December 2024, unless otherwise stated. ¹ For performance returns and net returns calculation methodology disclosures, please see Slide Specific Footnotes. ² Current pay as of December 31, 2024. Please see Slide Specific Footnotes.

Canyon Partners Real Estate Business Update

- In 1Q 2025, Canyon Partners Real Estate (CPRE) expanded voting membership of its Investment Committees ("IC") across CPRE's funds and related products. We believe this expanded structure will help foster collaboration across strategies, allowing us to better leverage the broader expertise of the new IC members to drive success in our existing Fund and related product offerings and strategic growth with new capital.
- The voting membership of the CPRE IC under this expanded structure is comprised of:
 - Josh Friedman (Co-Founder, Co-Chairman and Co-CEO)
 - Mitch Julis (Co-Founder, Co-Chairman and Co-CEO)
 - Robin Potts (Partner and CIO - Chair)
 - Jacob Feingold (Managing Director, Head of Originations)
 - Matt Brody (Managing Director and Head of Real Estate Capital Formation)
 - Spencer Schlee (Managing Director)*
 - Will Boukalik (Managing Director, Head of Asset Management)**
- No material changes to the operation or execution of CPRE's business are anticipated due to this change, which maintains the key leadership positions of our team while adding the additional experience of the new members of the CPRE IC.

CRED III Performance

Investment Activity Overview		
	September 30, 2024	December 31, 2024
# of Closed Investments	14	16
Total Capital Committed to Closed Investments	\$306.1	\$357.3
<i>% of Capital Committed to Closed Investments*</i>	44.7%	43.9%
Number of Closed + Executed Term Sheet Investments	16	16
Total Capital Committed to Closed + Executed Term Sheet Investments	\$357.2	\$357.3
<i>% of Capital Committed to Closed + Executed Term Sheet Investments*</i>	52.1%	43.9%
Number of Realized Investments	1	2

* As a % of Fund commitments.

Capital Activity Overview		
	September 30, 2024	December 31, 2024
Investor Capital Commitments	\$685.3	\$813.4
Total Capital Called	\$254.8	\$284.4
<i>% of Total Capital Commitments Called</i>	37.2%	35.0%
Total Distributions	\$63.6	\$72.3
<i>% of Total Capital Commitments Distributed</i>	9.3%	8.9%

Note: \$ in millions. Figures may not total exactly due to rounding.

CRED III Portfolio Detail

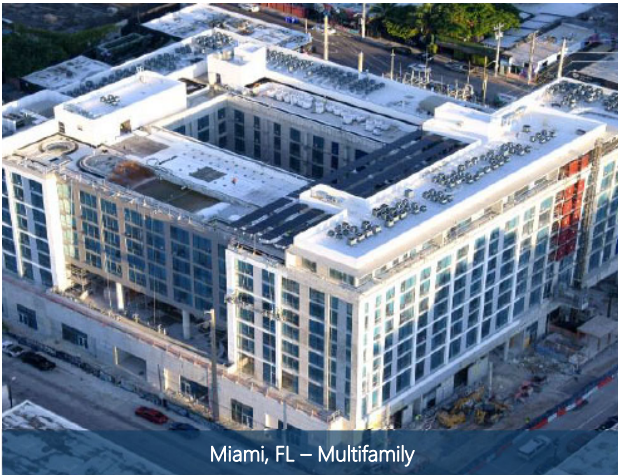
	Investment Name	Closing Date	Investment Type	Property Type	City	State	CRED III Allocation
1	KF134 B Piece	Apr-22	Security	Multifamily	Diversified	Diversified	\$25.7
2	365 Bond Mezz B	Sep-22	Mezzanine Loan	Multifamily	Brooklyn	NY	\$29.1
3	KF145 B Piece	Nov-22	Security	Multifamily	Diversified	Diversified	\$19.4
4	35 Stone	Nov-22	Mezzanine Loan	Office	Seattle	WA	\$27.3
5	South Tryon Flats	Dec-22	Preferred Equity	Multifamily	Charlotte	NC	\$20.0
6	Parkstone at Indian Land	Jan-23	Preferred Equity	Multifamily	Indian Land	SC	\$14.8
7	KF151 B Piece	Feb-23	Security	Multifamily	Diversified	Diversified	\$21.9
8	Wynhouse	Jun-23	Senior Loan	Multifamily	Miami	FL	\$18.0
9	Sunnyside Studio Campus	Jul-23	Senior Loan	Studio Campus	Queens	NY	\$37.0
10	One22One	Aug-23	Senior Loan	Office	Nashville	TN	\$24.5
11	Navona	Oct-23	Preferred Equity	Multifamily	Mesa	AZ	\$31.2
12	Towerview at Ballantyne	Feb-24	Preferred Equity	Multifamily	Charlotte	NC	\$12.6
13	745 4th Avenue	Mar-24	Senior Loan	Multifamily	Brooklyn	NY	\$14.7
14	The Valiant	Sep-24	Preferred Equity	Student Housing	Berkeley	CA	\$10.0
15	Aer Lamar	Nov-24	Preferred Equity	Multifamily	Austin	TX	\$24.8
16	Inspire Sonoran Desert	Dec-24	Preferred Equity	Multifamily	Phoenix	AZ	\$26.4
Total							\$357.3

CRED III Portfolio Detail

Investment Name		Est. Gross IRR ¹	Est. Gross EM ¹	Wtd. Avg. LTV	Wtd. Avg. LTC	Realization Status	Actual / Estimated Exit Date
1	KF134 B Piece ²	12.4%	1.53x	56.8%	47.9%	Unrealized	Mar-32
2	365 Bond Mezz B	11.3%	1.14x	72.3%	72.1%	Realized	Dec-23
3	KF145 B Piece ²	18.9%	2.11x	52.9%	52.1%	Unrealized	Jun-32
4	35 Stone	14.7%	1.33x	68.1%	80.0%	Unrealized	May-26
5	South Tryon Flats	14.3%	1.31x	59.8%	73.9%	Unrealized	Dec-25
6	Parkstone at Indian Land	14.4%	1.22x	61.7%	80.8%	Realized	Dec-24
7	KF151 B Piece ²	20.1%	1.92x	47.6%	46.3%	Unrealized	Jun-32
8	Wynhouse ²	13.9%	1.23x	64.5%	65.7%	Unrealized	Jun-26
9	Sunnyside Studio Campus ²	16.4%	1.40x	53.8%	65.0%	Unrealized	Jul-27
10	One22One ²	14.8%	1.23x	57.6%	66.9%	Unrealized	Aug-25
11	Navona	15.0%	1.48x	70.3%	75.1%	Unrealized	Apr-27
12	Towerview at Ballantyne	14.1%	1.61x	65.7%	65.7%	Unrealized	Feb-28
13	745 4th Avenue ²	15.3%	1.29x	56.1%	62.1%	Unrealized	Mar-27
14	The Valiant	17.4%	1.39x	60.3%	78.7%	Unrealized	Mar-27
15	Aer Lamar	16.5%	1.55x	59.4%	77.9%	Unrealized	Jun-28
16	Inspire Sonoran Desert	15.7%	1.35x	59.9%	74.7%	Unrealized	Sep-28
Total / Wtd. Average		15.2%	1.44x	60.6%	67.7%		

Note: \$ in millions. Figures may not total exactly due to rounding. Gray highlighting indicates realization. ¹Returns for closed investments are as of December 31, 2024. For important performance returns, please see Slide Specific Footnotes. Except where indicated as gross, returns are presented net of fees and projected expenses. ² The returns presented herein anticipate the use of leverage, which has inherent risk and where employed will magnify any potential gains or losses experience by the Fund and/or investment.

CRED III Photos



Slide Specific Footnotes

General Performance Returns Disclosure

Pursuant to amended Rule 206(4)-1 under the Investment Advisers Act (the "Marketing Rule"), all gross extracted and/or hypothetical performance, including targets and projections, within this document must be presented alongside a demonstrative hypothetical net return. In order to address certain anomalies associated with creating a hypothetical net return, we have adjusted certain calculations to more accurately reflect our expected net returns.

As a general matter, the Fund or platform level spreads are applied to underlying investments as a relative percentage change from gross to net for IRRs and equity multiples.

The Fund or platform level's gross to net profit percentage change is applied to the investment's gross IRR to calculate the net IRR (for example, for a Fund with a gross IRR of 20% and net IRR of 15%, the spread would be calculated as $(20\%-15\%)/20\%=25\%$. When an investment is profitable, the Fund's relative spread is multiplied by the gross investment IRR, the result of which is deducted from the gross investment IRR to determine the net investment IRR. When an investment is not profitable, the Fund's relative spread is multiplied by the gross investment IRR, the result of which is added to the gross investment IRR to determine the net investment IRR).

Where an Investment is profitable (gross equity multiple is 1.0x and above), consistent with the IRR methodology, the Fund or platform level's gross to net profit percentage change is applied to the Investment's profit to calculate the net equity multiple (for example, for a Fund with a 1.25x gross equity multiple and 1.15x net equity multiple, the spread would be calculated as $(1.25-1.15)/(1.25-1)=40\%$. The 40% relative spread would thereby be applied to profit portion of gross positive returns to calculate hypothetical net returns for underlying investments). Where an investment is not profitable (gross equity multiple is less than 1.0x), the Fund or platform level's gross to net percentage change is applied to the Investment's gross equity multiple to calculate the net equity multiple (for example, for the same fund profile previously noted, the spread would be calculated as $(1.25-1.10)/1.25=12\%$. The 12% relative spread would thereby be applied the gross equity multiple to calculate a hypothetical net return for such unprofitable underlying investments).

In reviewing net returns for reasonableness, where the net equity multiple is positive and the IRR is negative, the Fund or platform's absolute spread is used in order to calculate the net IRR. Conversely, if the net equity multiple is negative and the IRR is positive, the Fund or platform's absolute spread is used in order to calculate the corresponding net IRR.

Please refer to the performance disclosures for specific products and/or return profiles for further information about our net return calculation methodologies.

Past performance is not indicative of future results. All returns presented herein for unrealized investments or Funds which include unrealized investments are target returns. There can be no assurance that such targets will be achieved or that investments will be profitable once realized. Actual results may be materially different from those presented herein. Any investment involves significant risk, including loss of some or all of an investment. Please also refer to the Target Returns disclosure below for further information on how target returns are calculated. Unless otherwise indicated, returns are gross and do not reflect modeled Fund fees and projected expenses. Complete fund, platform and/or account performance records are available upon request.

CRED III Target Returns

The returns presented herein include unrealized and/or prospective investments and there can be no assurance that investments will materialize and/or be profitable once realized. Actual results may be materially different from those presented herein. Any investment involves significant risk, including loss of some or all of an investment. Returns presented herein are based upon the most current Fund model. CRED III net returns have been calculated using the weighted average gross to net spread of the CRED I, II, and III models using the CRED III performance and management fee structure, and for purposes of normalizing the spread, modeled recycling values have been treated in the same manner as Fund commitments as not to artificially inflate the gross to net spread. Amongst other factors, the model returns contemplate the opportunity set which we believe will be available, prospective asset-level expenses, prevailing and projected interest rates and cap rates, construction costs, construction schedule, leasing and absorption assumptions, operating expense assumptions, real estate tax assumptions, sales assumptions, realization timing assumptions and leverage assumptions. Specifically, the Fund model assumes that after the Commitment Period, the total aggregate principal amount of any Recourse Indebtedness (excluding the Credit Facility) will not exceed 50% of the sum of (i) the aggregate Unfunded Commitments and (ii) the aggregate cost (or commitment at acquisition) of the Fund's investments (including, for this purpose, leverage in respect of such investments). In addition, the targeted net return presented herein assumes: (1) a management fee rate of 1.5% of Invested Capital, (2) a 15% incentive fee, and (3) a 16 basis point estimated expense ratio. Such modeled factors, not all of which have been described herein, have been presented for illustrative purposes only. Please see the Offering Memorandum for CRED III for a full description of the Fund's terms. Please also refer to the General Performance Returns Disclosures for more important disclosure information.

CRED III Investment Examples (Unrealized)

The returns presented herein include unrealized investments and there can be no assurance that investments be profitable once realized. Returns presented herein are based upon the Asset model. Amongst other factors, model returns contemplate asset-level expenses, prevailing and projected interest rates and cap rates, construction costs, construction schedule timeline, leasing and absorption assumptions, operating expense assumptions, real estate tax assumptions, sales assumptions, realization timing assumptions and leverage assumptions. The Advisor's performance and management fees are reflected, amongst other factors noted in the underlying Fund(s) methodology description(s), in the Fund Fees used to calculate net returns. Such modeled factors, not all of which have been described herein, have been presented for illustrative purposes only. Net returns presented herein have been calculated utilizing the Fund Level spread from which the underlying investment originated. Please also refer to the General Performance Returns Disclosures for more important disclosure information.

Slide Specific Footnotes

CRED III Investments (Realized)

Net returns presented herein have been calculated utilizing the Fund Level spread from which the underlying investment originated. The Advisor's performance and management fees are reflected, amongst other factors noted in the underlying Fund(s) methodology description(s), in the Fund Fees used to calculate net returns. Complete fund and/or account performance records are available upon request. Please also refer to the General Performance Returns Disclosures for more important disclosure information.

Current Pay Footnote

Current Pay is based on trailing 12 month Fund cash flows. Current Pay is calculated as the weighted average (weighted by invested amount) of the monthly, annualized, current income generated from investment fees, senior debt interest, and subordinate debt current pay interest (not accruals) divided by the invested amount. Such information is presented for illustrative purposes only and is based upon various assumptions, not all of which are described herein. Hypothetical projections are speculative in nature, and as with all models, actual returns may vary significantly based upon the inputs.